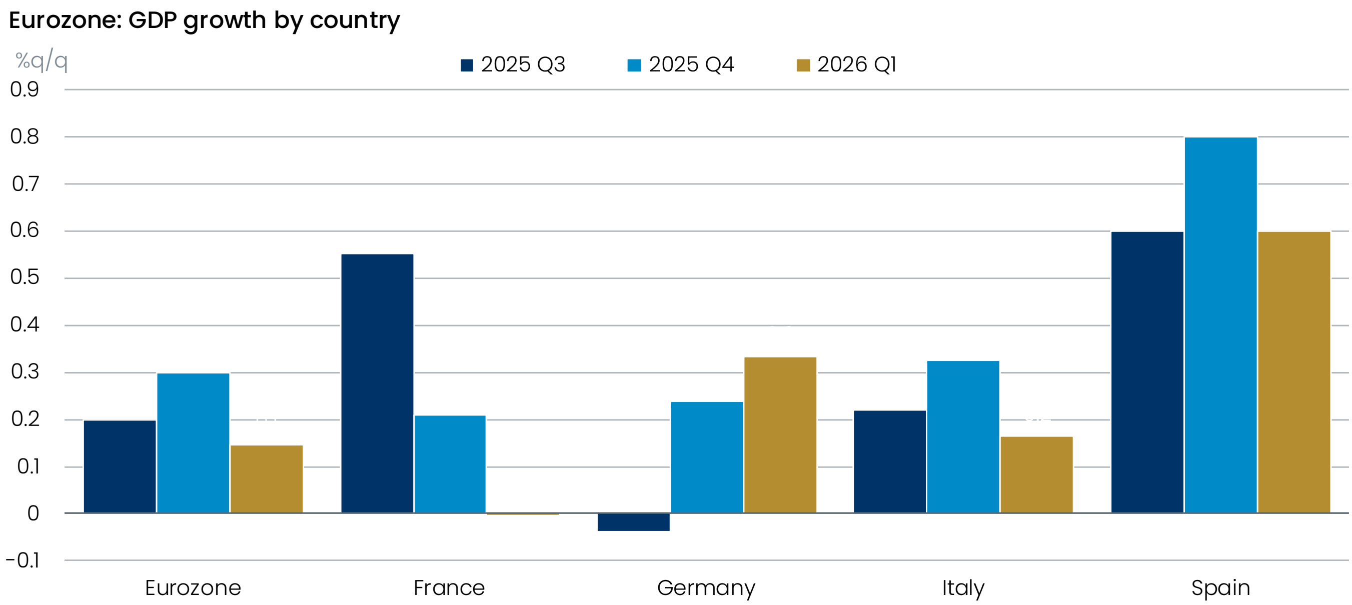
Eurozone economy barely grew in Q1

- **Eurozone GDP expanded by only 0.1% in Q1. The aggregate number masks a rather large variation across countries, with a robust expansion for Spain. Germany and Italy marginally surprised on the upside while growth stalled in France. Today's figure for the bloc is lower than we had expected, but it mainly reflects a sharp decline in Ireland and some seasonal factors for the Eurozone, rather than the impact of the war, whose negative effects will be more visible from Q2.**
- **Inflation on the other hand is already showing the impact of higher energy prices, with Eurozone inflation at 3% in April and the highest rate since the end of 2023. The main driver was energy inflation, which was up by around 3% over the month, after a large increase of 7% in March. Core inflation eased on the month mainly on the back of earlier Easter timing.**
- **Today's docket offers a glimpse of what the ECB will soon face: inflation above target and weak activity. We think the central bank will not be able to look through this energy shock, even if it deems it temporary, in order to keep inflation expectations anchored. At today's ECB meeting, we will look for signals on how the Governing Council views the trade-off between growth and inflation.**

The Eurozone economy started the year on a weak footing, with GDP up by only 0.1% over the quarter. This mainly reflected seasonal factors, including a spell of cold weather, and a sharp fall in Irish GDP – which alone subtracted 0.1ppt from the eurozone aggregate – rather than the impact of the war, whose effects are likely to become more visible from Q2. As usual, the aggregate number is masking a rather large variation across countries.

Chart 1: A timid increase in Eurozone GDP



Sources: Oxford Economics, Haver Analytics

Germany's economy expanded 0.3% q/q in Q1 according to a flash estimate. Details are scarce, but domestic consumption and strengthening exports drove the expansion. While we expected government consumption to

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continue its supportive role in Germany, the press release also highlighted private consumption, indicating some resilience in spending. Despite downward revisions to Q4 last year, the economy fared better than expected so far this year. However, Q2 data will be the real test and available survey data points to downside risks to our current forecast of modest growth.

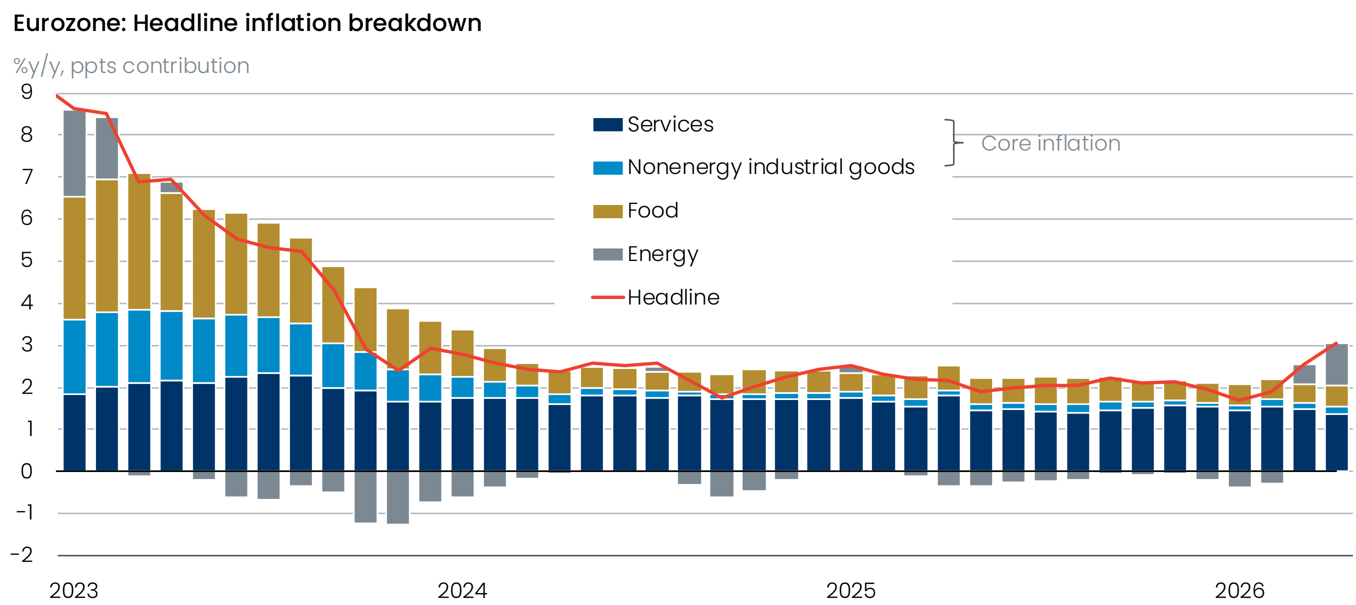
France's GDP stagnated in Q1, a slightly weaker performance than our already below-consensus expectations. Domestic demand was mostly to blame, with both private consumption and investment contracting slightly, in line with the gradual weakening in survey data over recent months. Q1 economic activity suffered from a combination of unusually high temperatures in February, which limited household spending on energy, and weak growth in the construction sector, which explains the entire fall in investment spending.

Italy's GDP rose by 0.2%, slightly above our estimate, with services reportedly the sole driver of growth. The winter Olympics in February likely provided a temporary boost to service activity. This support should fade in the second quarter, however, leaving underlying momentum weak once the one-off Olympic effect drops out and the impact of the war will be felt.

The Spanish economy on the other hand remains the main growth engine in the Eurozone. The 0.6% growth came on the back of supportive consumption growth, alongside some positive impact from net trade, despite a negative reading for exports.

Consumption which will take the brunt of the inflationary surge is not yet showing a meaningful impact at the Eurozone level as the aggregate quarterly number is masking the impact from the war, which started only at the end of February. But by looking at the monthly data out this morning, there is a sense that the impact will be felt more vividly in Q2, although the fallout from the Iran conflict should start being fully felt from April. Retail sales in Germany were down by 2% over the month, with a large drop across the boards, including fuels. And while the timing of the Easter could have a played a role the direction of travel is rather negative. Consumption of goods in France was more positive, but after a couple of negative months.

Chart 2: Inflation surged again in April



Sources: Oxford Economics, Haver Analytics

Inflation in April was up by 0.4ppt compared to March and up by around 1ppt from February. At 3% y/y, Eurozone inflation stands at its highest level since late 2023. Energy prices rose 11% over the year compared to 5.1% y/y in

March. Considering the two months in March and April, the energy basket rose by 10%, a pace only surpassed by the initial energy shock following Russia's invasion of Ukraine in early 2022.

Food inflation increased over the month, on the back of unprocessed food, while core inflation eased 0.1ppt to 2.2% y/y, with services seeing slower annual inflation rates, partly due to earlier Easter timing. But second-round effects from the energy price shock, coupled with disruption to global supply chains, means core inflation is likely to see some upward pressure as we progress further into 2026.

Finally, national inflation prints from France and Italy corroborated the regional story. French inflation rose to 2.2% y/y in April and the Italian one to 2.8%, with energy items up by close to double digit in both countries.

Overall, today's docket with both activity data and inflation offers only a glimpse of what the ECB will soon face: inflation above target and weak activity. We continue to believe that the central bank will not be able to look through this energy shock, even if it deems it temporary, in order to keep inflation expectations anchored.